Licence and Ownership

D & S Electric Works. Position on section 5 of your enquiry.

> **Status: NEGOTIATION DRAFT. Not approved.** The principle in section 1 is the company's position. The clauses in section 3 are not settled and need the company's decision and counsel's review. Nothing here is a contract until signed.

1. The position

- **Verity is our proprietary software and we own it.** That includes everything configured or developed for DSEW. Customisation for DSEW becomes part of Verity.
- **DSEW receives a perpetual, non-exclusive, non-transferable licence** to use Verity for its own business, at one site, for up to 15 named users, for the one-time fee. No annual or per-user licence fee applies to that scope.
- **DSEW owns its business data**, including everything it enters or uploads, and can take a documented export (records as CSV, files in original form with an index) at handover and once more on request during warranty.
- **Source code is not delivered.** Your enquiry asked for it; we are telling you plainly that this offer does not include it.
- We do not use DSEW's confidential drawings, prices, specifications or quality formats for anyone else, under a mutual NDA.
- Platform components we use are open source (for example PostgreSQL, Keycloak, Next.js) under their own licences, listed in a licence inventory at handover.

2. Your nine questions

#	Question	Answer
1	Complete source code delivered?	No. Verity is proprietary
2	Does DSEW own the custom code and IP?	No. We own Verity and the configuration. DSEW owns its data
3	Can DSEW or another developer modify the code?	Not the code. DSEW can configure what the product allows, and request changes from us
4	Can it run without dependence on you?	It runs on DSEW's server day to day. Updates and changes to the product come from us. Runbooks for install, backup, restore and upgrade are provided
5	Proprietary frameworks, paid components, recurring licences?	Verity is licensed as above. No paid third-party components or recurring licence fees in Phase 1
6	Schema, API docs, deployment scripts, technical documents?	Deployment runbooks, administrator and user guides and API notes for what Phase 1 uses. Source code and internal design documents are not included
7	Repository access from the beginning?	No

#	Question	Answer
8	Credentials, deployment instructions, backup procedures?	Yes, through a signed handover checklist, with credentials rotated at handover
9	Use limited to DSEW; no resale?	Yes. DSEW may not resell, sublicense or share Verity. We will not resell or disclose DSEW's confidential material

3. Open points for the company and counsel

None of these is decided. No fee is included for any of them.

#	Open point
1	What DSEW can rely on if the company stops supporting Verity (continuity or escrow arrangement, if any)
2	Licence term wording, termination, and what happens to DSEW's right to use on termination
3	Whether the licence may extend to affiliates, additional sites or more users, and on what terms
4	Liability, warranty and indemnity clauses
5	Governing law and dispute resolution

This document is not ready for signature. DSEW's enquiry placed weight on source-code ownership and independence; the company's position above differs from that request, and DSEW should expect to negotiate it.